

DEBT BULLETIN

1HFY-2026

MINISTRY OF FINANCE
DEBT MANAGEMENT OFFICE

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INTRODUCTION & HIGHLIGHTS

The Semi-Annual Debt Bulletin is prepared by the Debt Management Office, in accordance with the Section 13, Clauses (i) and (r) of 'Fiscal Responsibility and Debt Limitation (Amendment) Act 2022' and section 5 (II) of 'Fiscal Responsibility and Debt Management Rules' 2023. This Bulletin provides information and data related to outstanding public debt stock, debt operations during the mentioned period and assessment of the progress made against debt management strategies as outlined in the latest Medium-Term Debt Management Strategy (MTDS) document for FY 2026-28. Importantly, this document serves as an an important source of public information, in line with government's commitment in providing accurate and timely information related to public debt.

HIGHLIGHTS

During 1HFY-26, total Public Debt Stock increased by 1.1% to 81,374 billion, with 68% comprising of domestic debt and 32% External debt.

Domestic debt increased by 1.6 % to reach PKR 55,363 billion, in comparison to 5.8% increase during 1HFY-25. Similarly, in USD terms, External debt increased by only 1.2% to reach USD 92,873 million.

Debt stock growth was managed by generating sizable federal primary surplus of PKR 2,926 billion, interest cost rationalization (reduction of 30% YoY) as a result of successful strategic initiatives in domestic debt management and continuing liability management operations, which include debt buybacks amounting to PKR 1,748 billion.

First six months of FY-26 saw further improvement in the maturity profile of domestic debt, with ATM increasing to 3.99 years. The share of fixed rate debt instruments out of total government debt securities portfolio increased to 25%, with an Average Time to Refixing (ATR) of 1.2, as a result of higher investment in PIB and GIS-Fixed Rate (FRR).

In terms of Realized Value basis, ~80% of Gross Issuances in PIB were in the 5 & 10-Year tenor. Similarly, in Government Ijarah Sukuk category, approx ~52% of gross issuances took place in the 5 & 10-Year tenor instruments.

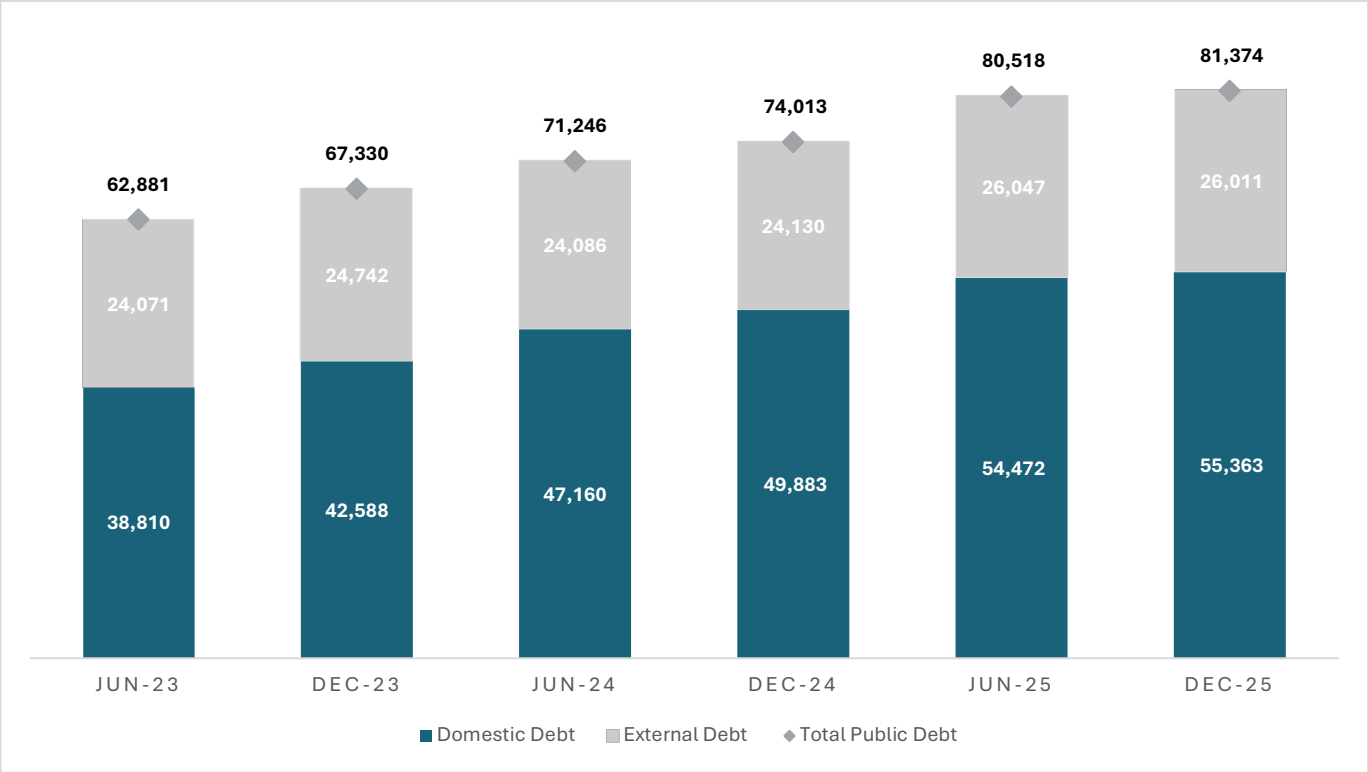
During this period, the highest increase in stock was seen in the shariah compliant GIS instrument segment, growing by 13%. As a result, share of GIS out of total government debt porfolio increased to 14%.

External debt profile remains favorable, with 84% of it being sourced from multilateral banks, IMF and bilateral development partners. During the period, EuroBond amounting to USD 500 Million as repaid and bilateral deposits amounting to USD 4 billion were rolled over. Disbursements from IMF stood at USD 1.209 billion.

Total guaranteed debt stock increased to PKR 4,316 billion, with domestic guaranteed debt at PKR 2,226 billion and external guaranteed debt of PKR 2,060 billion.

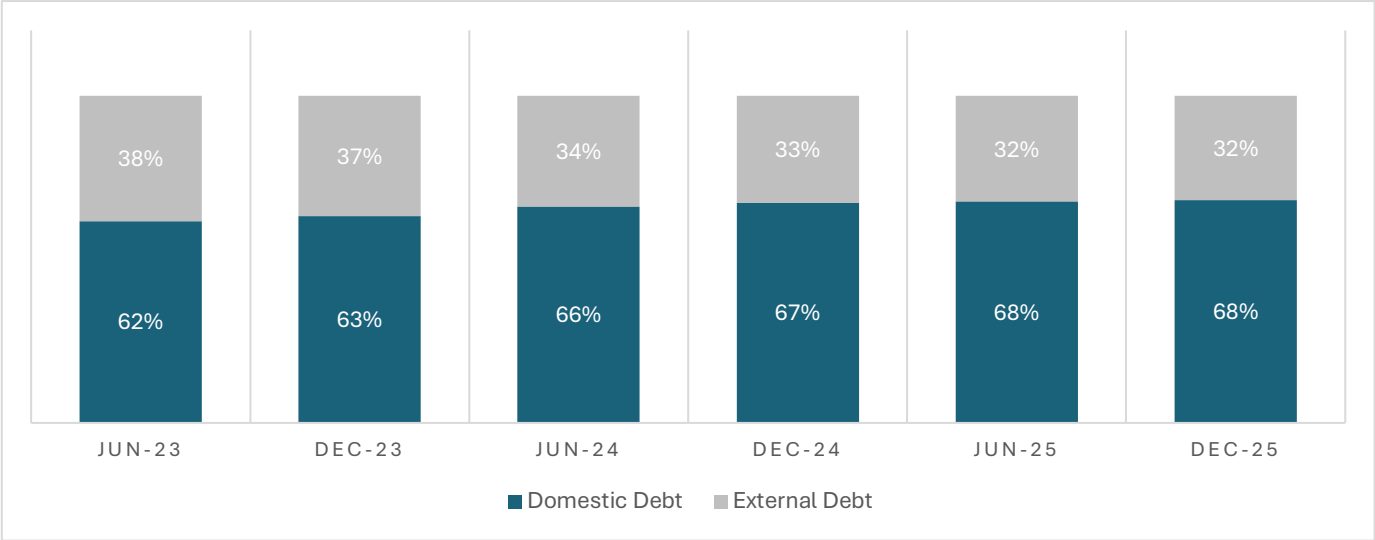
PUBLIC DEBT STOCK

As of end Decemebr-25, total public debt increased to PKR 81,374 billion, out of which domestic debt was PKR 55,363 billion and external debt PKR 26,011 billion. During first six months of FY-26, total public debt increased by only 1.1%, which is down from 3.9% and 7.1% during same period in the previous two fiscal years, respectively.



Source: State Bank of Pakistan

Majority of public debt continues to be from domestic sources, and the share of external debt out of total debt continues to slide down, from the peak of 38% in June-2023, to around 32% in December-2025. This reflects a reduction in currency risk due to less exposure to the exchange rate fluctuations.



Source: State Bank of Pakistan

In terms of USD, the total public debt is USD 290 billion as of end December-25.

	Jun-23	Dec-23	Jun-24	Dec-24	Jun-25	Dec-25
Domestic Debt	135.5	151.1	169.5	179.1	192.0	197.7
External Debt	84.0	87.8	86.5	86.6	91.8	92.9
Total Public Debt	219.6	238.8	256.0	265.7	283.8	290.6
Exchange Rate (PKR/USD)	*286.4*	*281.9*	*278.3*	*278.6*	*283.7*	*280.1*

Source: State Bank of Pakistan

ASSESSMENT OF CHANGE IN DEBT STOCK

Total increase in debt during the first six months was PKR 855 billion, which is lowest in terms of both amount and percentage in comparison to same period of previous two fiscal years. Main reason for this is the successful fiscal consolidation measures by the government, which led to a Federal Primary Surplus of PKR 2,926 billion, the highest HY amount in last three fiscal years. In addition to this, the government took certain strategic initiatives such as debt buybacks/retirements, maturity lengthening, introduction Zero-Coupon bonds, which led to total interest expenses for the period of PKR 3,563 billion, which is lower by 30% in comparison to same period of last fiscal year. These measures enabled the government to rationalize the growth in debt stock.

	Jun-23	Dec-23	Jun-24	Dec-24	Jun-25	Dec-25
Total Public Debt	**62,881**	**67,330**	**71,246**	**74,013**	**80,518**	**81,374**
Change in Total Public Debt (I+II)		**4,449**		**2,767**		**855**
(I) Effect of Transactions		**3,922**		**2,313**		**662**
Federal Primary Deficit / (Surplus)		(1,523)		(2,829)		(2,926)
Interest Expense		4,220		5,142		3,563
Net Cash Balance Increase / (Decrease)		1,224		171		25
(II) Effect of Exchange Rate / Others		**527**		**454**		**193**

Source: Finance Division & State Bank of Pakistan

DOMESTIC DEBT

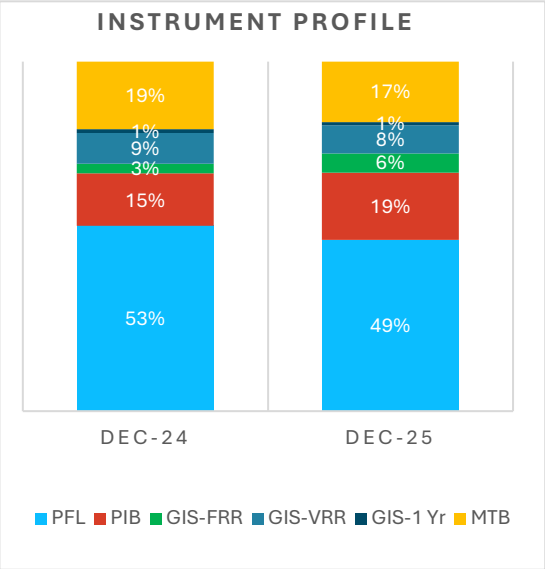
Domestic debt increased by 1.6 % during 1HFY-26, reaching PKR 55,363 billion, in comparison to an increase of 5.8% during 1HFY-25. Majority of domestic debt continues to be sourced from Medium-to-Long Term Pakistan Investment Bonds (PIBs), followed by Market Treasury Bills (MTBs) and shariah-compliant Government Ijarah Sukuks (GIS). GIS showed the highest growth of 13%, in the first six months of this FY, reflecting the government's efforts to increase share of shariah-compliant financing

instruments. The stock of PIBs and MTBs showed very nominal decline of 0.2% and 0.1% respectively due to contained net borrowing and increase in issuance of shariah Compliant Instruments.

A deep dive of the instrument profile of domestic government debt securities shows the result of government's debt management strategy in the past one year. Share of floating rate debt securities is declining, with PIB-floaters (PFL) coming down to 49% from 53% and GIS-Variable Rate (VRR) also declining to 8% from 9%. In contrast, the share of fixed rare instruments reflected by Fixed Rate PIBs increasing to 19% from 15%, and GIS-Fixed Rate (FFR) doubling from 3% to 6%. Importantly, the short-term debt MTB declines from 19% to 17%. These efforts have resulted in maturity lengthening and reducing interest rate risk, where ATM has increased to 3.99 years, and share of Fixed-Rate debt out of total government debt securities increased from 18% to 25% as of December-25.

(PKR Billion)	Jun-24	Dec-24	Jun-25	Dec-25
Pakistan Investment Bonds (PIBs)	28,026	31,216	35,015	34,930
Sukuk / Bai-Muajjal	4,766	5,774	6,350	7,184
Market Treasury Bills (MTBs)	10,248	8,696	8,756	8,744
Unfunded Debt (NSS)/ Prize Bonds	3,184	3,263	3,429	3,579
SBP Loan to GoP against SDR	475	475	475	475
Foreign Currency Loans*	374	374	380	385
Naya Pakistan Certificates/Others	88	85	66	66
Total Domestic Debt	**47,160**	**49,883**	**54,471**	**55,363**

* Includes FEBCs, FCBCs, DBCs, Special US Dollar Bonds and other domestic FC borrowings



Source: State Bank of Pakistan

MATURITY PROFILE

The maturity profile of domestic debt marginally improved, with the share of short-term debt declining by 0.5%. This led to increase the ATM from 3.8 years as on Jun-25 to 3.99 years as on Dec-25. On YoY basis, the improvement in maturity profile is evident, with share of short-term debt decling by 3.1%, with the resultant increase in Medium-to-Long term debt visible. This is due to the result of government strategic shifting from high-risk floating rate instrument to medium to long term fixed instruments across conventional and shariah compliant universe.

(PKR Billion)	Jun-24	%	Dec-24	%	Jun-25	%	Dec-25	%
Domestic Debt Securities	**47,160**	**100%**	**49,883**	**100%**	**54,471**	**100%**	**55,363**	**100%**
Short-Term Debt (< 1 Year)	**16,323**	**34.6%**	**14,569**	**29.2%**	**14,484**	**26.6%**	**14,470**	**26.1%**
- Market Treasury Bills	10,390	22.0%	8,696	17.4%	8,809	16.2%	8,812	15.9%
- Medium & Long-Term Debt*	5,933	12.6%	5,873	11.8%	5,676	10.4%	5,658	10.2%
Medium & Long-Term Debt (> 1 Year)	**30,837**	**65.4%**	**35,314**	**70.8%**	**39,987**	**73.4%**	**40,893**	**73.9%**

* Remaining Maturity of less than one year

Source: Finance Division & State Bank of Pakistan

CREDITOR PROFILE

Analyzing the investor profile, commercial banks remain the largest holder of domestic government securities with their share rising to 66% during the 1HFY-26. However, noticable decline is seen in the share of government securities held by State Bank of Pakistan (SBP), decling by 3% in the first six months of FY-26, due to debt buybacks amounting to PKR 1,626 billion. This has been a hallmark of the debt mangement strategy during the past one year, where available fiscal resources are strategicially utilized to conduct Libaility Management Operations via debt buybacks of expensive debt.

	(PKR Billion)	Jun-24	%	Dec-24	%	Jun-25	%	Dec-25	%
I+II	**Domestic Debt**	**47,160**	**100%**	**49,883**	**100%**	**54,472**	**100%**	**55,363**	**100%**
I	**Government Debt Securities**	**43,043**	**91%**	**45,686**	**92%**	**50,121**	**92%**	**50,858**	**92%**
	- Held by Scheduled Banks	29,184	62%	27,624	55%	35,064	64%	36,554	66%
	- Held by SBP	5,551	12%	5,561	11%	5,085	9%	3,470	6%
	- Held by Non-Banks	8,309	18%	12,501	25%	9,972	18%	10,834	20%
II	**Others**	**4,117**	**9%**	**4,197**	**8%**	**4,350**	**8%**	**4,505**	**8%**
	- NSS (including Prize Bonds)	3,093	7%	3,180	6%	3,429	6%	3,579	6%
	- Naya Pakistan Certificate	84	0%	81	0%	62	0%	62	0%
	- SDRs allocation*	475	1%	475	1%	475	1%	475	1%
	Foreign Currency Loan	374	1%	374	1%	368	1%	373	1%
	- Other	91	0%	87	0%	16	0%	16	0%

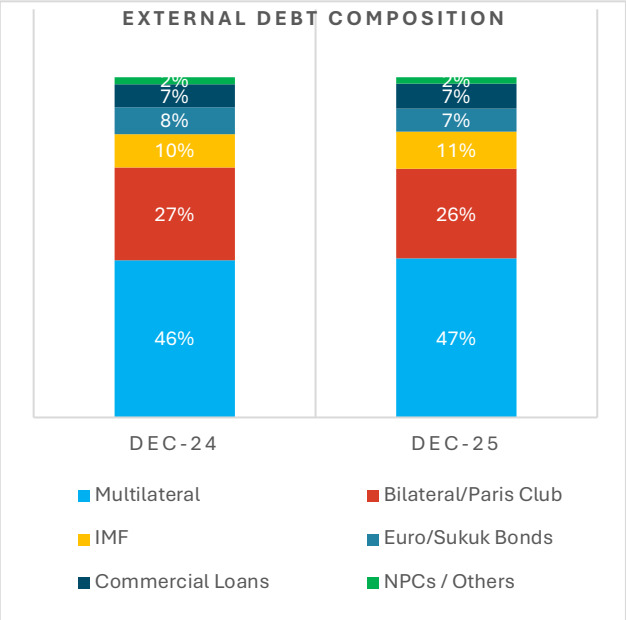
*SBP loan to GOP against SDRs allocation

Source: State Bank of Pakistan

EXTERNAL DEBT

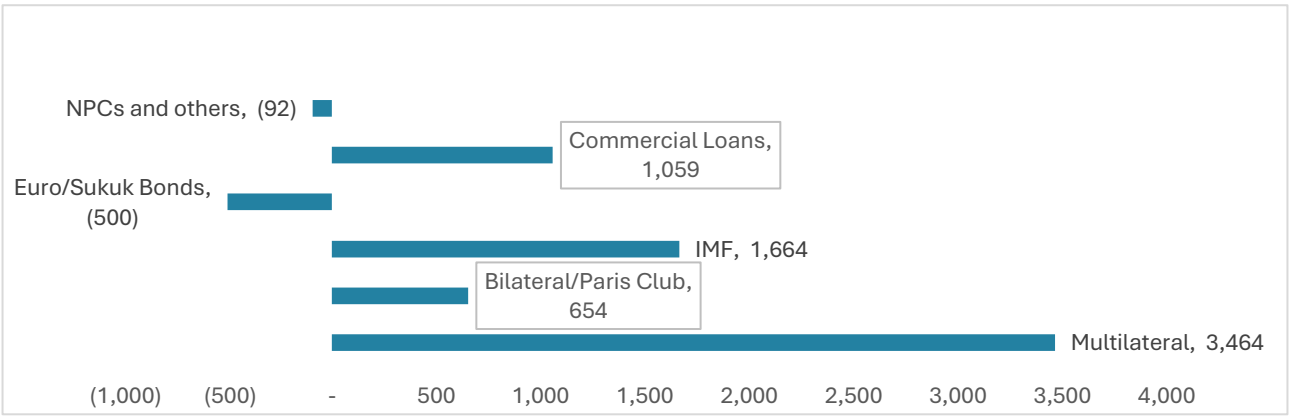
During 1HFY-26, External debt increased by only 1.2% to reach USD 92,873 million. Multilateral creditors remain the dominant source, accounting for 46.0% of total external debt (USD 42.7 billion) as of December 2025. The World Bank and Asian Development Bank are the two largest creditors within this group. The IMF's outstanding claim grew from USD 8,378 million in June 2024 to USD 10,157 million by December 2025, reflecting ongoing programme-related disbursements under the EFF and the Resilience and Sustainability Facility. IMF claims now represent 10.9% of total external public debt. Financing from commercial sources include Euro/Sukuk bonds and Commercial banks having both 7% share each. Importantly, the majority of external loan sources continue to be multilateral and bilateral, which are generally of long-term tenor and have concessional rates.

(USD Million)	Jun-24	Dec-24	Jun-25	Dec-25
Multilateral	39,498	40,054	43,032	43,518
Bilateral/Paris Club	25,026	23,655	24,044	24,309
IMF	8,378	8,493	9,267	10,157
Euro/Sukuk Bonds	6,800	6,800	6,800	6,300
Commercial Loans	5,490	5,775	7,156	6,834
NPCs / Others	1,333	1,847	1,495	1,755
Total Public External Debt	**86,525**	**86,624**	**91,794**	**92,873**



Source: Economic Affairs Division & State Bank of Pakistan

Regarding the YoY increase in external debt amounting to USD, it was primarily led by higher multilateral disbursements under the IMF Extended Fund Facility and other development partners.



Source: Economic Affairs Division & State Bank of Pakistan

At end Dec'25, Pakistan's external public debt increased by USD 6,249 million on YoY basis, driven by multilateral sources which contributed USD 3,464 million, underscoring the country's continued reliance on concessional and semi-concessional financing from the World Bank, ADB, and other multilateral sources. IMF disbursements under the ongoing programme added a further USD 1,664 million, bringing total multilateral-related inflows to over USD 5 billion and collectively accounting for more than 80% of gross additions to the external debt stock. Commercial loans contributed USD 1,059 million, while bilateral and Paris Club creditors added USD 654 million as rollovers of safe deposits and new project disbursements more than offset scheduled Paris Club amortizations. On the other side, Euro/Sukuk Global Bond stock declined by USD 500 million following a scheduled repayment, and NPCs and other instruments contracted marginally by USD 92 million. Overall, the composition of new borrowing reflects a deliberate shift toward longer-tenor, lower-cost official financing.

MATURITY PROFILE

This composition and external debt profile provides relative stability and reduces refinancing pressures compared to heavier reliance on short-term commercial borrowings. Therefore, the external debt profile remains favorable as 84% of debt maturities are categorized in the Medium & Long-term category.

(USD Million)	Jun-24	%	Dec-24	%	Jun-25	%	Dec-25	%
External Public Debt	**86,525**	**100%**	**86,621**	**100%**	**91,795**	**100**	**92,873**	**100**
Short-Term Debt (< 1 Year)	**18,414**	**21%**	**17,413**	**20%**	**22,259**	**24%**	**20,432**	**22%**
- Bilateral Deposits	9,000	10%	9,000	10%	9,000	10%	9,000	10%
- IDB Short-term	250	0%	390	0%	552	1%	797	1%
- LC Securities (T-Bills)	510	1%	723	1%	187	0%	292	0%
- LT (Remaining maturity < 1 year)*	8,654	10%	7,300	8%	12,520	14%	10,343	11%
Medium & Long-Term Debt (> 1 Year)	**68,111**	**79%**	**69,208**	**80%**	**69,536**	**76%**	**72,441**	**78%**

Source: Economic Affairs Division

Short-term debt declined from USD 17,413 million (20%) in December 2024 to USD 20,432 million (22%) in December 2025. Bilateral deposits held flat at USD 9,000 million, while IDB short-term facilities increased modestly from USD 390 million to USD 797 million. On the other side, medium and long-term debt grew to USD 72,441 million (78% of total), reflecting new multilateral and IMF disbursements on longer tenors. Overall, the maturity structure improved meaningfully on a year-on-year basis, with the short-term share falling by 2 percentage points.

INTEREST RATE TYPE

In terms of interest rate type, the composition remains broadly stable, with fixed-rate debt constituting the majority at around 60%, while floating-rate debt accounts for 40%, thereby limiting exposure to interest rate volatility.

(USD Million)		Jun-24		Dec-24		Jun-25		Dec-25	
I+II	Domestic Debt	US$ mn	%	US$ mn	%	US$ mn	%	US$ mn	%
I	**External Public Debt**	**86,526**	**100%**	**86,622**	**100%**	**91,794**	**100%**	**92,873**	**100%**
II	Floating Rate	33,986	39%	33,869	39%	37,130	40%	37,149	40%
	Fixed Rate	52,540	61%	52,753	61%	54,663	60%	55,724	60%

Source: Economic Affairs Division

FEDERAL & PROVINCIAL GOVERNMENT DEBT

Foreign currency loans are contracted by the Economic Affairs Division (EAD) on behalf of the Federal Government and subsequently on-lent to the provinces on the same terms and conditions agreed with donors/lenders. Provinces retain flexibility to negotiate terms such as tenor, repayment schedule, and currency choice.

As of December-25, 84% of Pakistan's external public debt is primarily held by the Federal Government, while 16% is owned by provinces and sub-national entities. Within the provinces, Punjab is the largest borrower with USD 6.15 billion (7%), followed by Sindh at USD 5.16 billion (5%), Khyber Pakhtunkhwa's USD 2.9 billion (3%), and remaining debt divided between Baluchistan (USD 375 million), Gilgit-Baltistan (USD 69 million), and Azad Jammu & Kashmir (USD 202 million) maintain comparatively small exposures.

	(USD Million)	Jun-24	%	Dec-24	%	Jun-25	%	Dec-25	%
I+II	**External Public Debt**	**86,525**	**100%**	**86,621**	**100%**	**91,795**	**100%**	**92,873**	**100%**
I	**Provincial Govts/Sub-National Govts**	**12,809**	**15%**	**13,248**	**15%**	**14,270**	**16%**	**14,820**	**16%**
	- Punjab	6,026	7%	5,985	7%	6,176	7%	6,145	7%
	- Sindh	3,777	4%	4,119	5%	4,669	5%	5,163	6%
	- Khyber Pakhtunkhwa (KP)	2,378	3%	2,489	3%	2,772	3%	2,865	3%
	- Baluchistan	357	0%	382	0%	371	0%	375	0%
	- Gilgit-Baltistan	62	0%	66.9	0%	70	0%	69	0%
	- Azad Jammu & Kashmir	209	0%	204.2	0%	211	0%	202	0%
II	**Federal Government**	**73,716**	**85%**	**73,373**	**85%**	**77,525**	**84%**	**78,054**	**84%**

Source: Economic Affairs Division

BORROWING OPERATIONS

Following are the main highights related to both domestic and external borrowing operations during the first six months of FY-26:

- During 1HFY-26, a federal primary surplus of PKR 2,926 billion was generated, and total interest expense was PKR 3,563 billion (domestic PKR 3,089 billion & external PKR 474 billion), decline of 30% YoY.
- This resulted into a federal fiscal deficit of PKR 637 billion, as compared to PKR 2,313 billion. 95% of the deficit was financed through domestic borrowing sources as compared to only 5% from external borrowing.

DOMESTIC BORROWING:

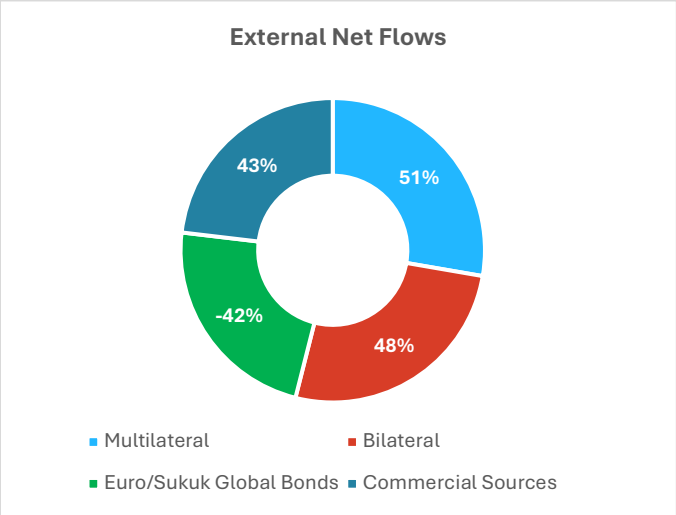
- Total Gross issuances for the period was PKR 14,377 billion (on Realized value basis), with the blended WACC of 11.07%, leading to lower interest expense on new issuances.
- Net issuance in Market Treasury Bills increased by nominal amount of Rs. 3 billion, which is in line with the Annual Borrowing Plan to keep net issuance of T-bills close to zero, in order to align with Medium-Term Debt Management Strategy (FY2026-28).
- Gross issuance of fixed rate PIBs, including 2-Y & 15-Y Zero Coupon Bonds amounted to PKR 2,390 billion (RV basis) against maturity of PKR 1,236 billion.
- PIB Floating exposure was strategically reduced, marking a structural rebalancing away from variable-rate risk. Gross issuance of floating rate PIBs amounted to Rs. 1,481 billion (RV basis) against repayment of Rs. 1,133 billion.
- Gross issuance of Government Ijara Sukuk (GIS) on Realized Value basis was Rs. 1,204 billion whereas the GIS maturity amounted to Rs. 760 billion. Main highlight was the significant issuance amounting to PKR 468 billion for Bai-Muajjal instruments. Overall, these Sukuk issuances led to increasing share of shariah-compliant financing in domestic government debt portfolio.
- Total net flows in National Saving Schemes stood at Rs. 156.1 billion.

Instrument	Gross Borrowing – RV (PKR Bn)	WACC - % age	WAM - Years
MTBs	8,833	10.92	0.5
PIB-Fixed	2,390	11.62	7.1
PIB-Floating	1,481	11.71	9.8
Sukuk-Fixed	662	11.01	4.8
Sukuk-Variable	212	10.55	9.9
GIS- 1 Y Discount	329	10.33	0.7
Bai Maujjal	468	9.84	2.7
Total	**14,377**	**11.07**	**3.0**

Source: State Bank of Pakistan, & Finance Division

EXTERNAL DEBT:

- External budgetary disbursements were recorded as USD 4.5 billion, of which USD 1.9 billion was received from multilateral sources, USD 0.056 billion from commercial sources, USD 1.072 billion from bilateral development partners, and USD 1.202 billion was recorded as inflow from Naya Pakistan Certificates. External budgetary repayment amounted to USD 3.97 billion.
- USD 1 billion China SAFE deposits and USD 3 billion Saudi deposits were rolled over for one year in July 2025 and December 2025, respectively.

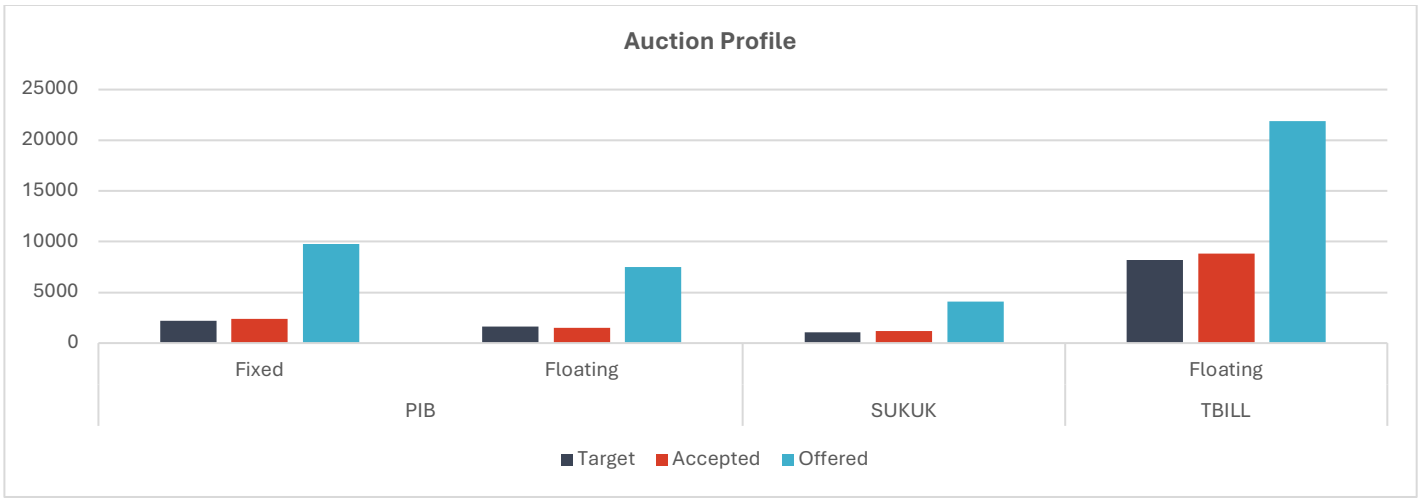


Source: Economic Affairs Division

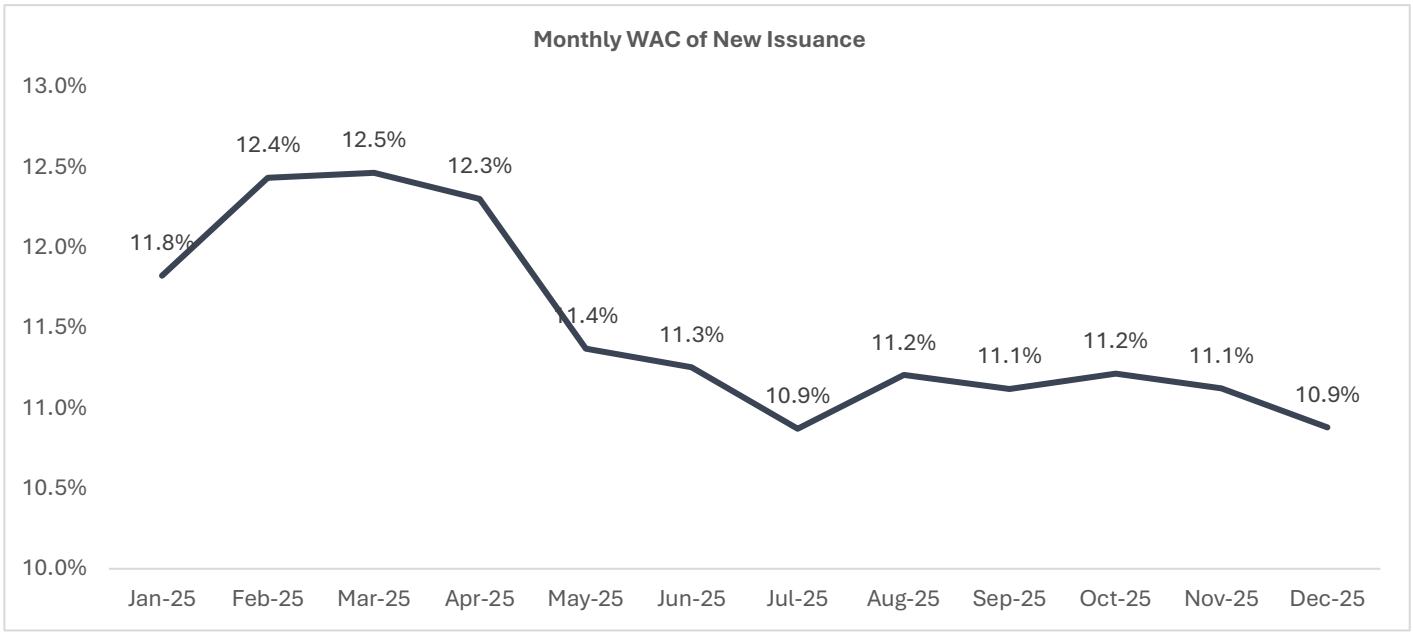
- Pakistan received USD 1 billion under the IMF's Extended Fund Facility Programme, and USD 209 million under Resilience and Sustainability Facility.
- During the first half of FY2026, Pakistan's external debt service totaled USD 5,618 million.
- Multilateral creditors accounted for the largest share with total debt service of USD 1,748 million (principal USD 1,144 million, interest USD 603 million), followed by bilateral creditors at USD 674 million (principal USD 469 million, interest USD 205 million).
- Eurobond debt service amounted to USD 750 million, comprising USD 500 million in principal repayment and USD 250 million in coupon payments, while commercial banks paid out USD 687 million (principal USD 450 million, interest USD 237 million).

LIABILITY MANAGEMENT OPERATIONS

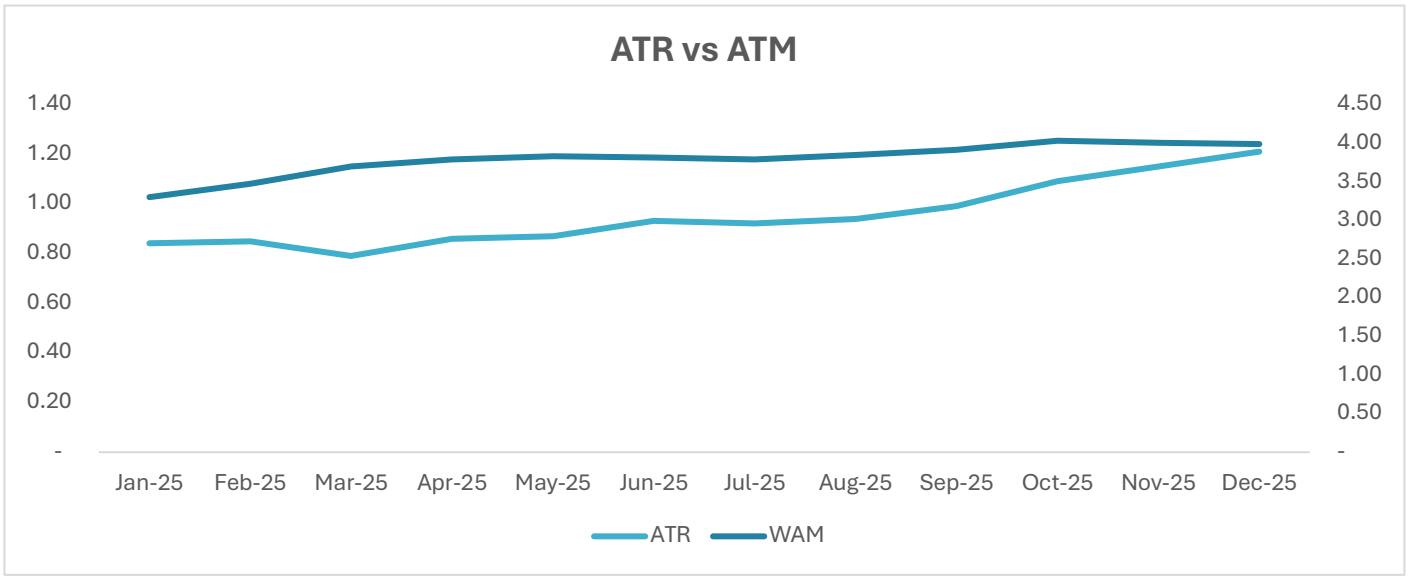
As part of its strategic Liability Management Operations (LMOs), the Government continued its debt buyback / retirement operations amounting to Rs.1,748 billion. This includes debt retirement of approximately Rs. 1,626 billion of SBP floating rate debt and Rs. 122 billion of market-held debt. This initiative optimized overall fund utilization, reduced concentration risk, and positively influenced both short-term and long-term borrowing costs for the Government.



Source: State Bank of Pakistan, & Finance Division



Source: State Bank of Pakistan, & Finance Division



Source: State Bank of Pakistan, & Finance Division

DEBT MANAGEMENT STRATEGY

Effective public debt management is achieved by meeting the government's debt obligations while optimizing the cost-risk tradeoffs. This can be evaluated by setting certain risk indicators to be achieved over the medium-term, which are mentioned in the Medium-Term Debt Management Strategy (MTDS) for FY 2026-28, which sets medium-term targets for end FY-28, with periodic monitoring to ensure the targets remain relevant with the prevailing macro-economic scenario.

Risk Indicators		Indicative Benchmarks	1HFY-26 Actual	FY-28 Target
Refinancing Risk	Domestic Debt ATM (Years)	> 3.0	3.99	**4.25**
	External Debt ATM (Years)	> 6.0	6.1	**6.2**
Interest Rate Risk	Share of Fixed Rate Debt in Government Securities Portfolio	> 20%	25% ATR 1.2	**30%** **ATR 2.0**
Currency Risk	Share of External Debt in Total Public Debt	< 40%	32%	**<40%**
Diversification	Share of Shariah-compliant Instruments in Government Securities Portfolio	12.0%	12.7%	**20%**

REFINANCING RISK:

The debt management strategy has been strategically oriented towards extending maturities and locking in longer-dated obligations — this structurally reduces the government's exposure to refinancing risk across both the domestic and external portfolios.

On the domestic front, government took advantage of a confluence of favourable conditions: bullish investor sentiment, an inverted yield curve, and successive SBP rate cuts that compressed market yields. Therefore, the government systematically orientated its borrowing programme towards medium-to-long term fixed-rate instruments, with gross issuances amounting to PKR 3,500 billion taking place. Within PIBs, approximately 64% of gross issuances were concentrated in the 10-year tenor and a further 16% in the 5-year tenor; GIS issuances similarly skewed toward the 5- and 10-year end at roughly 52% of the total. This deliberate front-loading of long-dated supply, while keeping net issuances of short-term Market Treasury Bills close to zero, materially reduced the volume of debt falling due in the near term. The cumulative effect is reflected in the domestic portfolio's Weighted Average Maturity, which extended to 3.99 years.

For external debt, the ATM remains at 6.1 years, which is close to the medium-term end FY-28 target. Major reaon for this remains that fact that external debt management strategy focuses on refinancing

of existing debt along with roll-overs of friendly countries deposits. The fresh disbursement during these six months is primarily from IMF and multilateral devepment banks.

INTEREST RATE RISK:

As rate easing cyle by SBP continued in the period under review, the government focused its efforts towards locking in long-term fixed rate debt instruments. Additionally, in order to reduce the primary source of repricing risk within the domestic debt portfolio, the government discontinued auctions for the PIB floating rate instruments. Therefore, gross borrowing was concentrated towards fixed-rate PIBs, which helped increase share of fixed rate debt instruments. Secondly, the introduction of long-dated Zero Coupon Bond for 15-year tenor, along with the already existing 2-Year Zero Coupon bond also enbaled the share of fixed-rate instruments to increase substantially to 25%. Regarding Average Time to Refixing (ATR) standing at 1.2X.

CURRENCY RISK:

The share of external debt out of total public debt remains at 32%, well bellow the MTDS target of 40%. This is largely attributable to refinancing of existing outstanding external debt along with relying mostly on domestic borrowing for the financing of the fiscal deficit. At the sametime, the government is also actively exploring currency risk and hedging instruments for more effectively managing currecnt risk.

DIVERSFICATION STRATEGY:

The major indicator for diversification strategy is to increase the share of shariah compliant financing instruments in the overall government debt portfolio. This share has increased to 14% as of Decemeber-25, an increase of 2% in first six months of this fiscal year. As discussed in preceding sections, the government is committed to increase this share as part of the broader efforts towards expanding scope of Islamic Financing in the country. These efforts included introduction of new long- zero-coupon 10 Year GIS also, to attract more institutional investors, specially from insurance industry.

The government is also taking other initiatives for the diversification of investor base. In order to attract retail investors, discussion have been held with SBP and a Telco provider who are also one of largest digital financial services providers, to enable their mobile wallet customers to directly invest in government securities through the digital means.

The Debt Management Office (DMO) of Finance Division has held several investor relations presentations with real money foreign institutional investors, with an aim to increase foreign inflows in domestic MTBs and PIBs through the Special Convertible Rupee Account (SCRA). In external debt also, there are efforts for diversification, with expansion into Chinese capital markets (Panda bond issuance) and re-entry in the international capital markets. In this regard, the government is in the advanced stages of initiating the renewal of Global Medium-Term Note (GMTN).

SOVEREIGN GUARANTEES

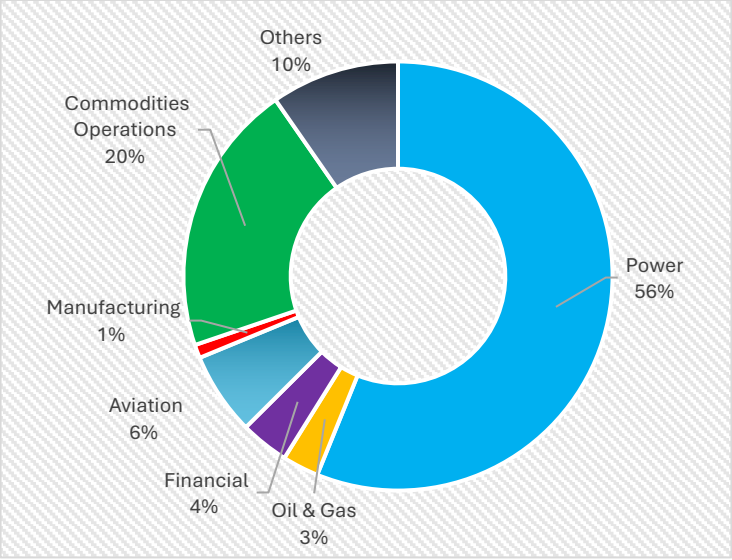
Contingent liabilities of the Government are primarily composed of guarantees issued on behalf of Public Sector Enterprises (PSEs) to secure financing from local or external lenders. The Fiscal Responsibility and Debt Limitation Act, 2005 (as amended from time to time) imposes following two ceilings related to Government guarantees:

Flow ceiling: 2 percent of GDP on the issuance of Government guarantees, with renewal of existing guarantees being considered as issuing new guarantees.
Stock ceiling: 10 percent of estimated GDP on the total stock of outstanding Government guarantees.

During 1H FY26, the Government issued fresh and renewed guarantees aggregating to PKR 71.4 billion, equivalent to 0.057 percent of GDP (excluding guarantees for which Letter of Comfort has been issued). The outstanding stock of guarantees stood at PKR 4,316 billion as on end December-25, including the self-liquidating guarantees issued for commodity operations. In terms of interest rate type, approx 52% of guarantees is securing loans priced as floating rate debt and 48% against fixed-rate debt.

The Breakdown of government guarantees shows approximately 56% of the guarantees are issued for the power sector entities followed by commodity operations with 20%, (obtained by TCP and PASSCO).

(PKR Billion)	Dec-23	Dec-24	Dec-25
Outstanding Guarantees	**3,495**	**4,211**	**4,316**
-Domestic Currency	1,518	2,318	2,255
-Foreign Currency	1,977	1,893	2,060
(Interest Rate Type)			
- Floating Rate	1,567	2,083	2,222
- Fixed Rate	1,928	2,128	2,094



Source: Finance Division

ANNEXURES

Domestic Debt (PKR Bn)

	Dec-23	Dec-24	Dec-25
I. Permanent Debt (1+2+3+4)	**30,889.5**	**37,863.9**	**43,016**
1. Market Loans	2.8	2.8	3
Federal Government	2.8	2.8	3
Provincial Governments	0.0	0.0	0
2. Federal Government Bonds	30,029.1	36,991.8	42,115
GOP Ijara Sukuk	4,419.0	5,709.3	6,552
Short Term (1 Year)		476.3	483
Long Term (>1 year)		5,233.0	6,069
Bai-Muajjal of Sukuk	0.0	65.0	632
Pakistan Investment Bonds (PIBs)[8]	25,608.7	31,216.2	34,930
Others	1.3	1.3	1
3. Prize Bonds[1]	382.6	394.3	423
4. SBP's on-lending to GOP against SDRs allocation[7]	474.9	474.9	475
II. Floating Debt	**8,369.8**	**8,696.0**	**8,744**
Bai Muajjal[2]	0.0	0.0	0
Market Treasury Bills	8,288.4	8,602.0	8,611
MTBs for Replenishment of Cash[3]	81.5	94.0	133
Outright Sale of MRTBs to Banks	0.0	0.0	0
III. Unfunded Debt	**2,838.5**	**2,868.7**	**3,157**
Saving Schemes (Net of Prize Bonds)	2,748.9	2,785.8	3,083
Postal Life Insurance	47.2	47.2	47
GP Fund*	42.4	35.7	26
IV. Foreign Currency Loans[4]	**378.3**	**373.8**	**385**
V. Naya Pakistan Certificates[6]	**118.7**	**81.0**	**62**
Government Domestic Debt (I+II+III+IV+V)	**42,594.8**	**49,883.3**	**55,363**

1. Includes Premium Prize Bonds (Registered)
2. Includes Rs. 0.013 billion of Treasury Bills on Tap
3. Includes SBP BSC, NIBAF and PSPC Tbills holding.
4. It includes FEBCs, FCBCs, DBCs, Special US Dollar Bonds and other domestic FC borrowings.
5. This reflects provincial governments' borrowings from banks for commodity operations.
6. Naya Pakistan Certificates (Islamic and conventional) held by residents only. INPC from June 2022 onward also covered commercial banks holding.
7. SBP's on-lending to GOP against SDRs allocation (SDR 1.95 billion) equivalent to PKR 474.94 billion from Nov-21.
8. Based on nominal values for Long Term Zero Coupon Bonds (Since June 2025)

Source: State Bank of Pakistan & Budget Wing, Finance Division

External Debt (USD Million)

	Dec-23		Dec-24		Dec-25	
	US$ mn	%	US$ mn	%	US$ mn	%
External Public Debt	**87,762**	**100%**	**86,622**	**100%**	**92,873**	**100%**
Multilateral	**46,509**	**53%**	**48,546**	**56%**	**53,675**	**58%**
- World Bank	20,121	23%	20,642	24%	23,062	25%
- Asian Development Bank	15,367	18%	15,933	18%	16,820	18%
- IMF	7,596	9%	8,493	10%	10,157	11%
- Others	3,425	4%	3,478	4%	3,636	4%
Bilateral	**27,185**	**31%**	**23,655**	**27%**	**24,309**	**26%**
- Paris Club	7,541	9%	5,746	7%	5,604	6%
- Non-Paris Club	19,644	22%	17,909	21%	18,705	20%
Commercial	**14,067**	**16%**	**14,421**	**17%**	**14,889**	**16%**
- Commercial Loans	5,611	6%	5,775	7%	6,834	7%
- Euro/Sukuk Global Bonds	7,800	9%	6,800	8%	6,300	7%
- Naya Pakistan Certificates	628	1%	1,055	1%	1,350	1%
- Local Currency (T-Bills & PIBs)	4	0%	781	1%	405	0%
- NBP/BOC deposits/PBC	**24**	**0%**	**10**	**0%**	**0**	**0%**

Source: Economic Affairs Division & State bank of Pakistan

External Financing Flows (USD Million)

	Jul-Dec 2023	Jul-Dec 2024	Jul-Dec 2025
Inflows (A)	**6,085**	**3,504**	**3,242**
- **Multilateral**	3,420	1,836	2,147
- **Bilateral**	2,665	241	1,041
- **Euro/Sukuk Global Bonds**	-	-	-
- **Commercial Banks/Short-Term**	-	1,428	54
Repayment (B)	**3,701**	**4,229**	**(2,061)**
- **Multilateral**	1,841	1,913	(1,543)
- **Bilateral**	1,461	1,461	(469)
- **Euro/Sukuk Global Bonds**	-	-	(500)
- **Commercial Banks/Short-Term**	399	855	(450)
Net Inflows/(Outflows) - (A-B)	**2,383**	**(725)**	**1,181**
- **Multilateral**	1,578	(77)	604
- **Bilateral**	1,204	(1,220)	572
- **Euro/Sukuk Global Bonds**	-	-	(500)
- **Commercial Banks/Short-Term**	(399)	573	504
Interest Servicing (C)	**1,836**	**1,875**	**1,394**
- **Multilateral**	863	963	701
- **Bilateral**	479	461	205
- **Euro/Sukuk Global Bonds**	291	250	250
- **Commercial Banks/Short-Term**	203	201	237

Total Debt Servicing (B+C)	**5,537**	**6,104**	**3,455**
- **Multilateral**	2,704	2,876	2,244
- **Bilateral**	1,940	1,922	674
- **Euro/Sukuk Global Bonds**	291	250	750
- **Commercial Banks/Short-Term**	602	1,056	(213)

Source: Finance Division, State bank of Pakistan & Economic Affairs Division

Pakistan Eurobond details

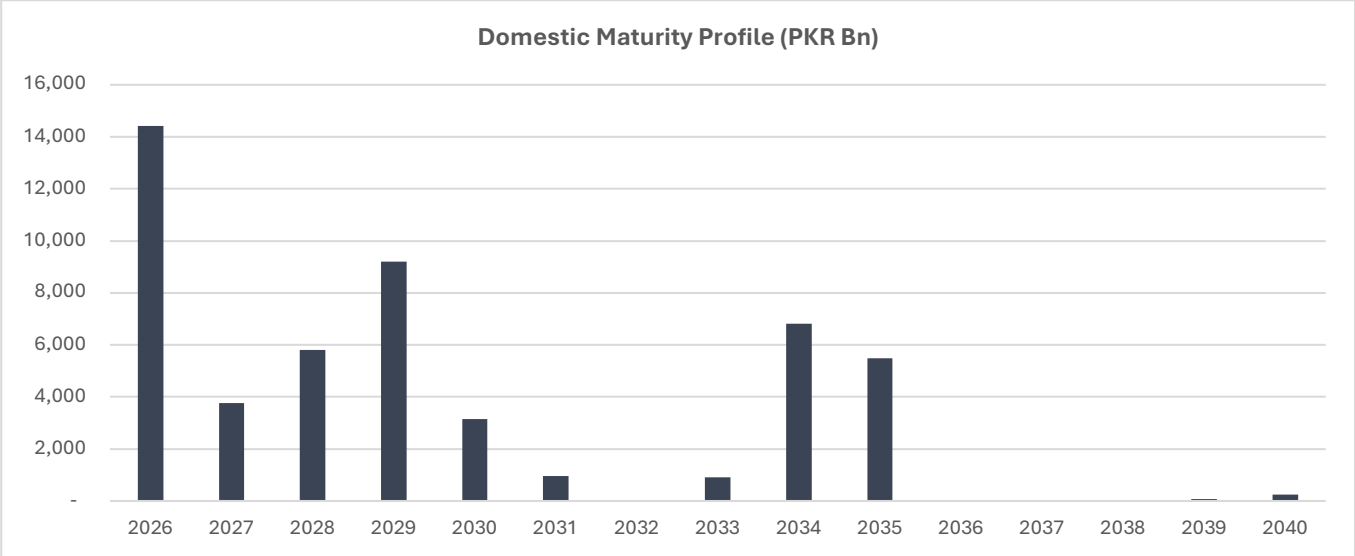
Sr. No.	Issuer Name	Issue Date	Maturity Date	Face Value (USD mn	Coupon % p.a	YTM % p.a. (end-Dec'25)
I	Eurobond	08-Apr-21	08-Apr-26	1,300	6	6.69
II	Eurobond	05-Dec-17	05-Dec-27	1,500	6.875	6.41
III	International Sukuk	31-Jan-22	31-Jan-29	1,000	7.95	7.07
IV	Eurobond	08-Apr-21	08-Apr-31	1,400	7.375	7.39
V	Eurobond	30-Mar-06	31-Mar-36	300	7.875	8.11
VI	Eurobond	08-Apr-21	08-Apr-51	800	8.875	9.00
	Total			6,300		

Source: Bloomberg

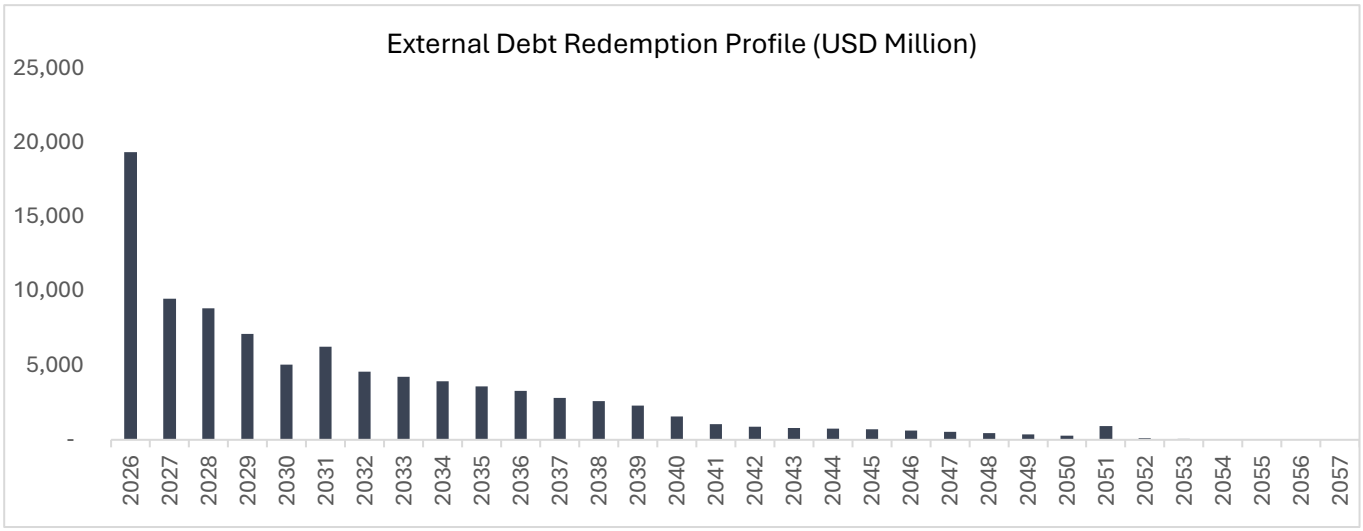
Sector-wise breakdown of Government Guarantees

	Dec-23	Dec-24	Dec-25
Power	2,483	2,317	2,423
Oil & Gas	145	134	118
Financial	100	180	158
Aviation	250	269	269
Manufacturing	45	45	44
Commodities Operations	-	852	886
Others	472	415	417
o/w PPP Projects	*7*	*7*	*7*
Total	3,495	4,211	4,316

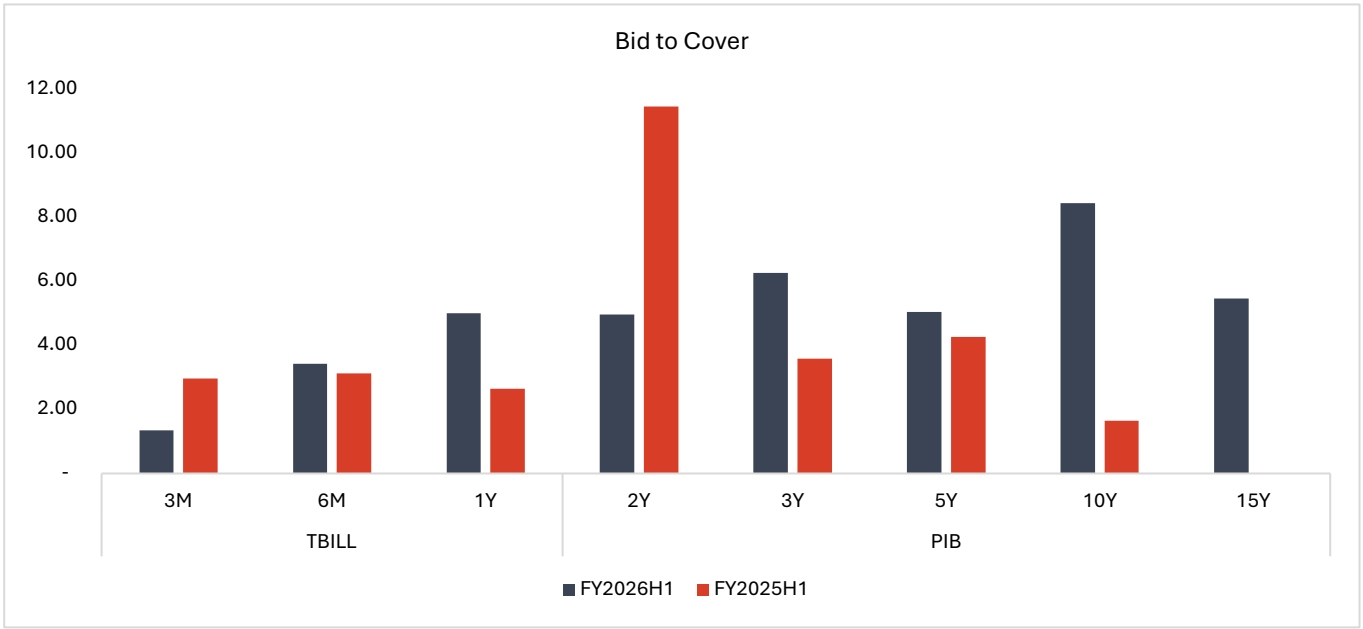
Source: Finance Division



Source: Finance Division and State Bank of Pakistan



Source: Economic Affairs Division and State Bank of Pakistan



Source: Finance Division and State Bank of Pakistan

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